MEMORANDUM OF UNDERSTANDING

This Non-Binding Memorandum of Understanding (**"MoU"**) is concluded on the 20th day of March 2023 between XGS Energy, a Delaware corporation with its registered office at 2479 East Bayshore Road Suite 210, Palo Alto, CA 94303 (**"XGS"**), and GPSS Engineering Inc., a Japanese incorporated firm with its registered office at Shibakoen ND Bldg. 6F, 2-5-10 Shiba, Minato-ku, Tokyo, Japan (**"GPSS"**). Each of these are a Party, and together comprise the Parties to this MoU. Parties will only be bound at the point at which they conclude definitive agreements regarding the subject matter of this MoU.

WHEREAS,

XGS possesses technology (the **"Technology"**) that is uniquely suitable for environmentally responsible and economically feasible exploitation of subsurface heat resources in Japan;

GPSS has access to and permits for the drilling of geothermal wells in Japan;

The Parties intend to jointly develop a project (the **"Initial Project"**) to ultimately deliver a geothermal powerplant of 15MW of electrical power using the Technology;

IT IS AGREED

1. The Parties will work together to realize the Initial Project according to general specifications and a general timeline to be defined within three (3) months upon the delivery of the project specifications by XGS to GPSS.
2. The Initial Project is expected to commence in 2024. It will be preceded a well deployment of the Technology by XGS in a well in the USA, on a timeframe to be determined by XGS.
3. GPSS shall have the right to monitor the in-well deployment to be developed in the USA prior the development of the Initial Project in Japan.
4. The financing of the Initial Project will be sourced by GPSS and its partners or assigns, after conducting sufficient analysis through the monitoring of the well deployment of the Technology by XGS in the USA and determining that the technology is commercially viable.
5. GPSS will endeavor to introduce XGS Energy and the Technology to interested parties in Japan, such as large-scale conglomerates,
6. Following the definition of the project general timeline and general specifications, the Parties may agree upon other commercial terms and conditions regarding how GPSS may be involved in the growth of XGS' business in Japan beyond the scope of the Initial Project.

SIGNATURES

XGS Energy, Inc.

W. Kolbe

Name: Walter Kolbe
Title: CEO

GPSS Engineering, Inc.

大野友史

Name: Tomofumi Ono
Title: Representative Director